

Public Economics - Assignment 3**José Nunes, no. 56871****1. Introduction**

Whether students should (or shouldn't) pay more tuition, it is important to realise that debates about education funding are not only technical but also reflect broader values about fairness, opportunity, and how society supports its younger generations. A pillar of democracy is that people hold different views and opinions on the role of government, and we as a society should debate every issue. My own perspective is shaped by concerns for fairness, equal opportunity, redistribution, and the protection of disadvantaged groups. I believe that access to higher education should not depend on a student's financial background, and therefore, my position is that students should not pay more tuition.

This essay will present strong evidence illustrated from Germany's tuition fee reforms, with public economics arguments targeting efficiency and equity concerns. Overall, I aim to prove that shifting more financial burden onto students (especially with the ongoing increase in cost of living) can create barriers to opportunity, reduce participation, and ultimately harm individuals and society.

2. Discussion

Beck (2022) studied the German movement against tuition fees and how students and activists successfully mobilized public opinion to argue that tuition was unfair, especially for poor-background groups, which were (historically) already excluded from university. This movement helped build coalitions, attract media attention, and pressure politicians to abolish tuition fees in all German states by 2014. From a political economy perspective, according to the Median Voter Theorem, if the majority prefer a system based on affordable and accessible higher education, rational politicians in a representative democracy will face strong incentives to adopt these preferences, which happened in Germany.

Germany introduced tuition fees of approximately 1000€ per year in 7 out of 16 states in 2007. Hübner (2012) developed a natural experiment to study how students would react to higher tuition by using data from 2002-2008. Before the fees, non-fee and fee states had the same trends, but after it, the author concluded that tuition fees significantly reduced enrollment in fee states by 2.7%, and when correcting for mobility (students going to non-fee states), the effect was 4.7%. According to the research, the impact in Germany is similar to US estimates, where tuition has long been shown to reduce enrollment.

Higher education is an excludable good (e.g., due to tuition and admission process), and largely a non-rival good (adding one more student to a lecture or letting students access online materials does not

reduce the benefit available to others, until capacity is congested). Because of this, it is a mixed good, part private and part public, and so private markets alone will not reach the socially optimal quantity (market failure). Also, higher education generates substantial positive externalities, such as higher productivity, innovation, increased tax revenues, and greater civic participation. All of this considered, graphically, the SMB curve would be above the PMB, meaning the equilibrium quantity is below the efficient level (placing it close to a public good in terms of social welfare).

The efficient government response to a positive externality could be “compared” to a Pigouvian subsidy, with low or zero tuition to move consumption towards the socially optimal level. In contrast, raising tuition moves the system in the opposite direction of a Pigouvian response: it increases private costs, reduces enrollment, and moves consumption even further below the social optimum (creating a bigger deadweight loss). This explains why Germany (and that could be applied to other countries) experienced significant declines in enrollment when tuition was introduced. Since higher education is a mixed good with large positive externalities (and students face constraints), markets alone will tend to underprovide it, so the only way to get close to the socially efficient level is with public funding. It is important to note that fewer students in higher education generates a decrease in human capital, which would likely drop the number of ideas and innovation, which will undoubtedly harm long-run economic growth.

One more efficiency consideration is that students respond far more strongly to increases in tuition than to increases in student aid, proving how sensitive the educational system is. In Germany, evaluations of the federal student aid program (BAföG) found that even sizeable increases in grants or subsidized loans have only modest effects on enrollment (Baumgartner and Steiner, 2006). By contrast, the introduction of relatively small tuition fees (1,000€ per year) produced a clear and statistically significant decline in university participation (Hübner, 2012). This shows that higher private costs are a real barrier for many students, and in other words, extra fees discourage students more than subsidies help.

Another study by Dwenger, Storck & Wrohlich (2012) analysed how students change where they apply once tuition fees exist in their home state, and it was conducted among medical school applicants (but the behaviour can reflect the general German application system). It was discovered that the probability of applying to a home-state university drops by 2 percentage points (from a 69% baseline), and this creates efficiency problems since students choose suboptimal, or not their top preference, simply to avoid a fee. It is also proven in the study that students with higher high-school grades react even more strongly, and by pushing them away, these states may end up with weaker applicants and fewer applications.

From a tax perspective, tuition acts as a regressive tax that violates vertical equity, as the cost imposes a much larger burden on low-income students. Suppose we create a market for higher education, where students are the consumers and universities are the producers: the statutory incidence of the tax falls on universities (required by law to charge and remit it to the government), so increasing it shifts the supply curve upward from S_1 to S_2 . Because poorer students have inelastic mobility (they can't easily move to other states to avoid the fee), they bear most of the economic incidence of tuition, meaning the economic incidence falls largely on them (Appendix, Figure 1). At the same time, enrollment demand is highly price-elastic, so when the supply curve shifts upward, quantity falls sharply, from Q_1 to Q_2 (reducing participation), and also generates a much larger deadweight loss (Appendix, Figure 2). From an optimal taxation perspective, the Ramsey Rule states that the government should tax inelastic goods and avoid taxing elastic ones to minimize inefficiency. Higher education is highly price-elastic for low-income students (e.g., the German case), and it has large positive externalities, so raising tuition harms both equity and efficiency and also contradicts an optimal tax system.

Public funding for education smooths consumption for people at a stage of life with very low income and limited access to credit. Just as social security pools income risks across society, public financing of universities spreads the financial risks of higher education (e.g., uncertain future or not completing the degree), whereas tuition forces individual students to bear them alone. Under a Rawlsian point of view, tuition should be low or zero because tuition disproportionately harms the poorest students; from a Utilitarian perspective, German evidence shows that the welfare losses from reduced enrollment outweigh the government's fiscal gains.

Under a no-envy criteria, tuition fees violate fairness if students from low-income families would prefer the situation of richer students who can pay without financial stress. Also, equal treatment of equals is violated when two students with the same academic ability face different chances of attending higher education purely because of family wealth.

3. Conclusion

In conclusion, higher tuition would reduce efficiency because it acts as a tax on a good with positive externalities (pushing consumption below the socially optimal level) and turns an important human right into a privilege, rather than an opportunity. The German case shows that even a small increase in tuition fees makes enrollment decrease, especially in low-income backgrounds, and in my opinion, if two students have the same academic potential, their ability to attend university should not depend on how much their family earns. It is also important to note that expanding public support for higher education is not only fair, but also a smart economic strategy that can help society grow in the long run.

Appendix

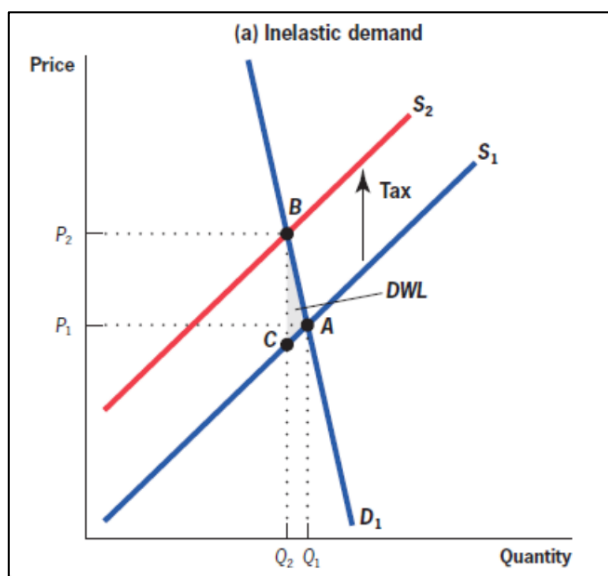


Figure 1 – Inelastic demand

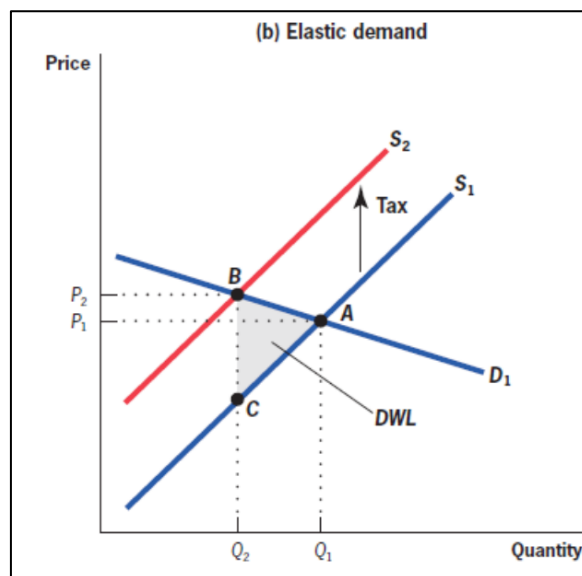


Figure 2 – Elastic demand

References

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